

CHAPTER SIX

FUNDAMENTAL CONCEPTS OF

MACROECONOMICS

AND

MACROECONOMIC PROBLEMS

Fundamental Concepts of Macroeconomics

Macroeconomics is a branch of economics which deals with the economy as a whole.

Macroeconomics concerns are (Macroeconomics concerned with):

- ➡ Economic growth(aggregate output level)
- ➡ Employment
- ➡ Inflation (aggregate price level)
- ➡ Economic fluctuation
- ➡ Distribution of income
- ➡ Macroeconomic policies
- ➡ International trade and resource flows(relationship of domestic economy with the rest of the world)

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The objectives of macroeconomics are:

- ➡ *Full employment* – not only providing job for all that are willing and able to work, but also full utilization of other economic resources.
- ➡ *Price stability*
- ➡ *Economic growth and rising the living standard of the citizen*
- ➡ *Fair distribution of income among all citizen of the country*
- ➡ *Less fluctuation in economic activities*

Components of Macroeconomics

- ❖ It focuses on four groups in the economy: *households*, *firms*(the private sector), the *government*(the public sector) and *the rest of the world*(the international sector).

Problems of Macroeconomics

The following are the fundamental macroeconomic problems:

1. Business cycle
2. Unemployment
3. Inflation
4. Budget and trade deficit

1. Business Cycle

- ➡ Refers to the recurrent ups and downs (fluctuations) in the level of economic activity
- ➡ Countries usually experience ups and downs in the level of total output and employment through time
- ➡ There are four phases of in business cycle

1. Boom or Peak

- ➡ When the economy produce the highest level of output in business cycle
- ➡ It is a period of maximum output expansion and very low level of unemployment
- ➡ The economy is operating close to full capacity
- ➡ Period of prosperity

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2. Recession(contraction)

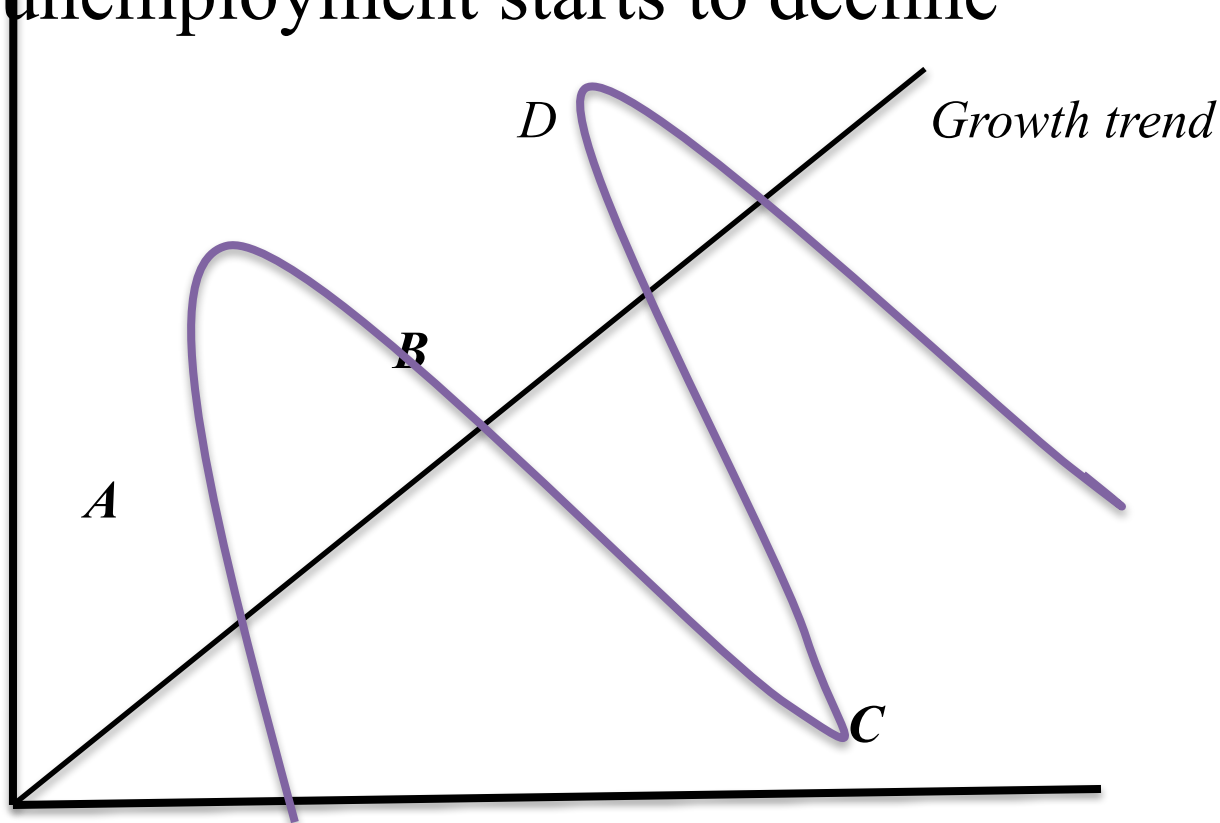
- ➡ the level of economic performance declines
- ➡ output, national income and employment declines
- ➡ Unemployment problem began to rise

3. Trough or Depression

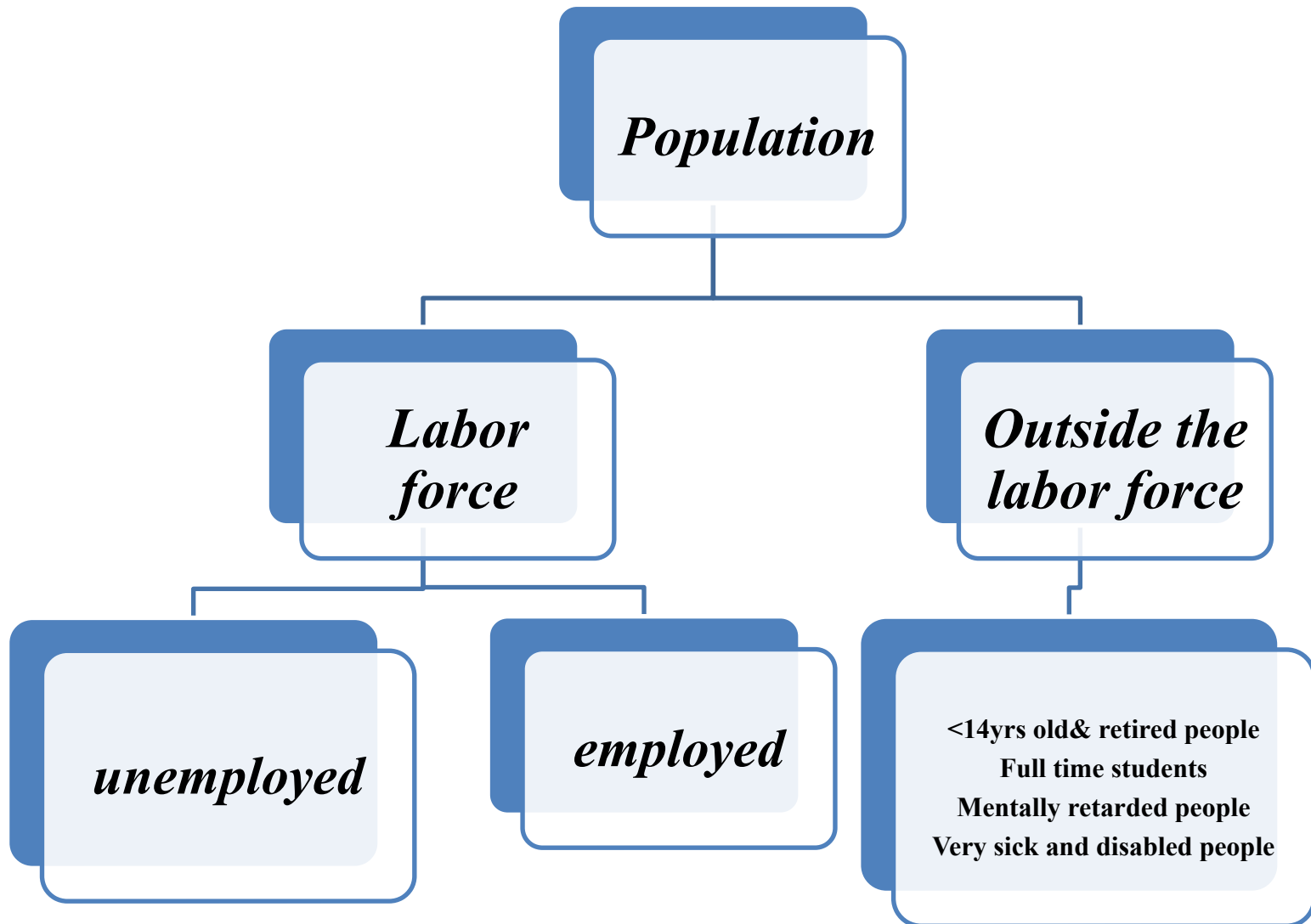
- ➡ Lowest point in business cycle
- ➡ The economy reached at low point
- ➡ unemployment rate is too high & total output reaches to low
- ➡ It is the severe stage of recession.

4. Recovery

- ➡ The economy starts to grow or recover
- ➡ Total output starts to raise, national income rises and unemployment starts to decline



2. Unemployment



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Labor force = Employed + Unemployed

Unemployment is a portion of the labor force that is without a job but is actively searching for a job.

Types of Unemployment

Commonly ,there are three types of unemployment

➡ ***Frictional unemployment***

➡ ***Structural unemployment***

➡ ***Cyclical unemployment***

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1. *Frictional unemployment*

- ✚ refers to brief period of unemployment experienced by people *due to the following reasons*:
- ➡ Seasonality of work.eg. Due to bad weather,...
- ➡ Entrance to the labor force. If a student spends few months looking for a jobs after graduation, he is considered as **frictionally unemployed**.
- ➡ Voluntary switching of job, either in search of better jobs or the previous job doesn't work out.
- ➡ Re-entering to the labor force

2. Structural Unemployment

- + Refers to unemployment resulting from mismatch between skills and locations of job seekers and location of vacancies
- + Eg. A nuclear physicist may not get job in Ethiopia
- + Typist may not get job in the environment where computers are not used for work

Structural Unemployment can be caused by

- Permanent shifts of demand for goods and services
- Technological change- automations and computerization of work may force the unskilled workers who used to produce the product manually to be unemployed

3.Cyclical Unemployment

- ✚ Unemployment generated due to the **absence** of jobs and vacancies
- ✚ Happens due to **deficiency** in demand for goods and services when the economy is in *recession*
- ✚ Frictional and structural unemployment are known as *natural level of unemployment, because they are **unavoidable**.*

Measuring Unemployment

✚ Measured by *unemployment rate*

✚ $TU = FU + SU + CU$

$Unemployment\ rate = TU/LF$

$NR = (FU + SU)/LF$, where:

TU-total unemployment

SU-structural unemployment

CU-cyclical unemployment FU- frictional unemployment

NR-natural rate of unemployment LF-labor force

❖ Full employment doesn't mean zero unemployment

❖ *Economic cost of unemployment* is the amount of output that could have been produced had the unemployed people been employed. It is the amount of the forgone output.

3. Inflation

- ➡ Is *sustainable or continuous* increase in the general(*average*) price level of goods and services
- ➡ can be *anticipated(expected to occur)* or *unanticipated(actual inflation – unexpected inflation)*
- ➡ can be measured using price index or GDP deflator
- ➡ Price index refers to consumer and producer index

$$\text{PI} = \frac{\text{current cost of a mkt basket of g+s}}{\text{cost of the same mkt basket in the base yr}} \times 100$$

$$\text{CPI this yr} = \frac{\text{current cost of a mkt basket of consumer g+s}}{\text{cost of the same mkt basket at the base yr}} \times 100$$

- The base yr is a reference year and it is usually a normal year when there is neither natural nor man made catastrophe.

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❖ Inflation rate at time $t = [(CPI_t - CPI_{t-1}) / (CPI_{t-1})] * 100$

Example: consider that the consumer price index in Ethiopia in 1992 E.C was 120 while in 1991 E.C it was 100. calculate the inflation rate in 1992?

$$\begin{aligned}\text{Inflation rate in 1992} &= [(CPI_{1992} - CPI_{1991}) / (CPI_{1991})] * 100 \\ &= [(120 - 100) / 100] * 100 \\ &= 20\%\end{aligned}$$

Causes of inflation

Generally, there are two causes of inflation

- ➡ Demand – pull inflation
- ➡ Cost-push inflation

Demand – pull inflation

- ➡ resulting from an increase in demand for goods and services while the economy is producing at or close to full employment
- ➡ It happens when the economy attempts to spend beyond its production capacity
- ➡ Aggregate DD grows greater faster than economy's productive capacity at full employment (aggregate SS), which creates shortage and this pushes price upward.

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Cost -push inflation

- Arises due to a continuous decline in aggregate supply of goods and services. This may happen due bad weather condition, an increase in wage and price of other inputs, decline in productivity

Effects of inflation

There are two important effects of inflation:

Redistributive effect and output effect

1. Redistribution effects of inflation

- ***Price effect*** – those people who consume those g+s whose price are rising rapidly suffer more than those who consume g+s whose price rise slowly.
- ***Income effect*** - increase in price reduce the purchasing power
 - * *redistribute income from fixed income earners to flexible income earners*
 - * *harm savers and creditors and benefit borrowers*
- **wealth effects-** people who own assets like land and BLDG will better off than others b/c the real value of such asset doesn't decrease during inflationary periods.

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2. Output Effects of Inflation

- ➡ It creates uncertainty – difficult for producer, investors to make production decisions
- ➡ Encourage speculation
- ➡ Shorten time horizon- during inflationary period producers, sellers and consumers postpone or cancel their expenditure plans. This may reduce the total output and employment level in the economy